

in various ways, in practically all parts of this book. There are two reasons for that.

First, what I try to do with this book is to demonstrate concepts. For concepts to work, they cannot be overly dependent on exact parameters. This book is about showing how simple and robust rules can explain a large part of the multibillion dollar trend-following industry, and how you can build your own models to rival the professionals. It's not about parameter optimisation.

Second, I think it would be quite lazy of me to write a second edition after ten years, and just use the same rules as before. After all, the publisher is paying me for this.

So, for that reason, our first model will use exponential moving averages of 50 and 100 days (see Figure 4.1). Why these numbers? you ask. Why not these numbers? I say. They are reasonably arbitrary and I do encourage you to test all kinds of combinations and find out for yourself how little they really matter.

Exponential moving averages use a weighting scheme where more recent points carry higher weight than those a long time ago. In the last edition, I used a simple moving average, and that is the main reason for going exponential this time.

This strategy trades both on the long and short side of all instruments and it will always be in the market, which means that, for each futures contract we include in the strategy universe, we always have a position, long or

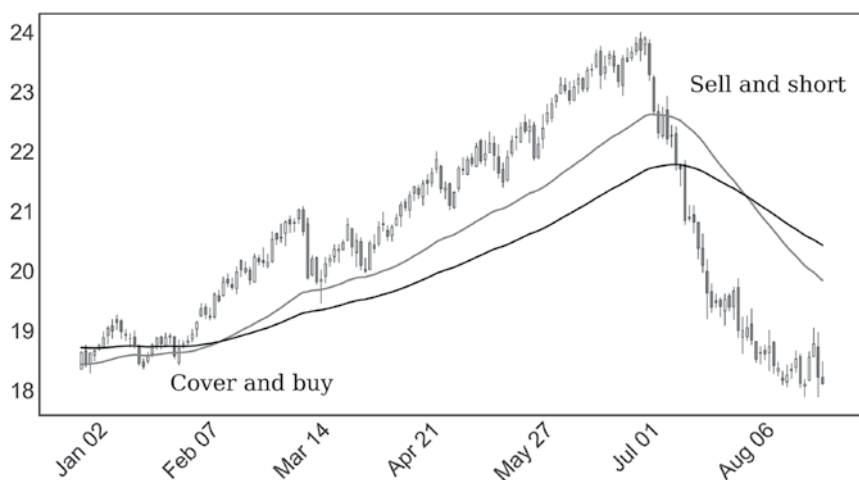


FIGURE 4.1 Standard moving average cross-over strategy.